

cities, such as Venice and Genoa, had traded in securities. However, the prevailing conditions in the Netherlands in the 17th century meant that the market was especially buoyant. Since the 16th century, there had been a strong financial market in Amsterdam, where there was a tradition of trading in commodities and speculation in everything from whale oil to tulips. The idea of buying and selling shares therefore appealed in this entrepreneurial society, especially as there was a good prospect of healthy profits from the Asian trade. In addition, the unique way in which the exchange traded—opening for limited hours only—encouraged rapid buying and selling and produced a very fluid market.

Boosts to the economy

The opening of the Amsterdam Stock Exchange was followed in 1609 by the foundation of the Bank of Amsterdam—the forerunner of modern national banks. The bank provided a secure place to keep money and bullion, and it assured that local currency kept its value. It thus helped make the Dutch Republic more financially secure, underpinning the vigorous and often risky trading activity that went on in this burgeoning market.

In 1623, the market had a further boost when the Dutch East India Company negotiated a new charter, paying investors a regular dividend and permitting those who wanted to leave the company to sell their shares on the Stock Exchange. This action further increased trade on the Stock Market, which was also pioneering other lucrative activities such as futures trading.

The insurance business was also thriving in Amsterdam during this time—particularly marine insurance, which had been created in the 16th century to protect ship owners and investors against the risks of long-distance voyages. When the Stock Exchange opened, a special area was set aside for the buying and selling of insurance.

A flourishing culture

The very buoyant financial activity prevalent in Amsterdam in the 17th



century encouraged the expanding middle classes to buy consumer goods, including fine furniture and oil paintings, further fueling the economy of this already successful region. A particularly strong art market developed, allowing major painters—such as Vermeer and Rembrandt, as well as numerous lesser followers—to flourish. Many artists were specialists, satisfying a growing demand for portraits, landscapes, seascapes, and still lifes, although great artists like Rembrandt excelled in all genres and art forms, including painting, drawing, and printmaking.

The increasing wealth also led to the expansion of towns, with new town halls, warehouses, and merchants' homes springing up. Numerous brick houses, owned by the middle classes, survive in cities such as Amsterdam and Delft, many of them set on the banks of the canals that were built during this period—a time of economic boom that combined elegance and artistic flair with success in trade. ■